UBS Global Consumer and Retail Virtual Conference

Company Participants

- John Fieldly, President and Chief Executive Officer

Other Participants

- Analyst
- Sean King, UBS

Presentation

Operator

Good afternoon, I'm Sean King, the U.S. and Ladenburg Analyst at UBS. Joining me for today's Fireside Chat is Celsius Holdings. Specifically, we have CEO, John Fieldly. The format for today's call will be Q&A. Before we start, I'm request to read a legal disclaimer. As a research analyst, I'm required to provide certain disclosures relating to the nature of my own relationship out of UBS with any company, which I express a review at today's meeting. These disclosures are available at www.ubs.com/disclosures. Alternatively, please reach out to me and I can provide them to you after the call.

So with that, let's jump into the Q&A. Thanks for joining us, John.

Questions And Answers

Operator

(Question And Answer)

A - John Fieldly {BIO 17560616 <GO>}

Excellent. Thanks for having us Sean, really appreciate it.

Q - Sean King {BIO 15889310 <GO>}

So yes, I guess the first thing we're to ask about was just the energy drink category overall. When you look at like Nielsen track channel trends for the last 52 weeks, up high single digits, which is fairly surprising given some of the disruption that we've seen. And what do you consider to be some of the biggest drivers of momentum for the energy drink category? And John, what will be key drivers of growth for energy drink category in going forward?

A - John Fieldly {BIO 17560616 <GO>}

Yeah, no. It's a great question. I mean, if you look at the category overall, it's been continually driving in North America to those single digit, mid-single digit growth rates to high single digit growth rates, over the last several years. So, earlier during the pandemic, we saw some decreases their due to traffic near like patterns changing, larger pack size, people migrating over. And there was concerns about, the stay-at-home orders, individuals and consumers moving to other alternatives, teas, coffees while they're at home. But what we saw in the category continue to grow. Consumers went out and found those beverages, the energy drinks and other categories if it's at home delivery, Amazon, E-com, Big-Box and so forth. So, versus those traditional that we know, the energy drink sale is about 70% of them are derived from that convenience channel.

So, there's a lot of changes happening. The growths there were seeing new consumers come to the category for the first time. So a lot of Millennials, Gen Z and Wire coming in as new consumers, much larger population as well and individuals are not aging out of the category as well. I mean, energy drinks are part of our daily lifestyle, and it's almost like we're getting busier. Just think of that stay-at-home orders most recently, you're at home, you're teaching your children how to attend school and stay on task plus all the other chores, I mean that you have. There's a lot going on in our lives. It's just getting busier. And the need for products that offer that functionality of better for you and more energy, it's going to continue to thrive.

Q - Sean King {BIO 15889310 <GO>}

Great. Let's that move to the next question. I believe you said that the global functional beverage category -- a functional dysfunctional beverage or functional energy drink category. We know, can grow at an 11% CAGR through 2023, is that right? What's driving that category grow faster than the broader energy category?

A - John Fieldly {BIO 17560616 <GO>}

Yeah. There's a seismic shift happening in the energy category and the global energy drink category is anticipated to grow sizably for the next several years. I mean, as the same reasons in North America, new consumers coming in, you're also seeing household, more people being able in the globe to buy products, consumable products as well. So you're seeing that continue to be a driver as well. But most importantly, when you look at the overall energy category, the growth is coming from, these healthy better for you more functional attribute products. In the North America, we talked about, in the industry a lot of performance energy as a sub-segment. We've talked about healthy better for you for some time now. And, it's really what Celsius does, we do offer healthy functional alternative to today's traditional energy drinks. We are aligned not only reborn in the gyms and health clubs, but we are aligned for the masses in today's category. People want their traditional energy drink consumers are ageing out. They want something alternative, better ingredients, Celsius over eight essential vitamins, green tea, ginger --. We offer functionality, no sugar, no crash, no jitter.

So, we offer something for everyone that's what's really unique about the category. When you're seeing the growth, a lot of the category, I mentioned those, that use next generation of consumers coming in. But also more females are coming to the category than ever before. If you look at traditional energy, it's historically 18 to 24 male, is really the target. But we're seeing more females come to the category and Celsius being a 50/50 female, male demographic and aligned with a multi-faceted age bracket, we really offer something unique for buyers in the beverage industry to brings something unique to help expand that category. And if they want to keep up with the category growth rates, they have to bring brands like Celsius into the mix.

Q - Sean King {BIO 15889310 <GO>}

Great. Yeah, I guess this is, my next question is, I guess you sort of address this. But you could argue that the energy drinks spaces has relatively low barriers to entry. I mean that's debatable given how concentrated the category is. But, how are you really differentiating yourself or your portfolio in the space to sort of maintain or drive share gains when competitions are increasing their, when the competition is increasing their focus on the category?

A - John Fieldly {BIO 17560616 <GO>}

Yeah, I mean, the barriers entering the category historically have been very low, not just in energy and beverage in general. I would say, today, the barriers to entry are a little bit harder with this whole can pandemic that we've had, a limited availability for can. So, the barriers entry a little bit higher just trying to get packaging as well as other components of your beverage. But, historically, it is low barrier to entry but really high barriers of staying power. I think there's over about 5,000 new brands that traditionally come to market every year. But 1% of them will ever make it to 10 million in sales and of those brands that make it the 10 million in sales, 1% of those will make it to a 100 million in sales.

So there's a lot of, there's a lot of difficulty to get to that point and a lot of difficulty in the staying power. So, one thing that you need with Celsius, you have to have a unique proposition. And one thing that's itself at Celsius, we are authentic. We were as I mentioned that gyms and health clubs were bored. We offer thermogenic. We offer clinically proven functionality, accelerated metabolism of burned body cap pack. And how those great ingredients that we talked about that healthy functional energy aspects that's point of differentiation and we taste great, so you got to taste great beverage that's key.

Q - Sean King {BIO 15889310 <GO>}

Yeah. That's true. I guess, some of the -- when I look at some of the very strong sales that you've had through the course of the pandemic, running it almost triple digit growth at times. Can you provide any color on how you think about that sales trajectory at least I am referring to the track channels will evolve as we kind of -- the economy begins to reopen and normal traffic, patterns resume?

A - John Fieldly {BIO 17560616 <GO>}

Yeah, we're evaluating that. We're watching that very closely. I think what's very unique when you look at really the sales trajectory where we are, we're number three on Amazon. We're just 0.02 percentage points below Red Bull. So, it shows you Apples to Apple's providing Celsius the same opportunity. We will turn faster in some of the leading brands in the category. And that's demonstrated with that stack line data that Rodney Sacks just released on Monster's earnings call. So, we were very surprised, I mean about 20% of our revenue has been derived from the fitness specialty channel. And with that channel being closed, we were concerned, people everyone working from home and those type of things that they would move to alternative. But we saw, Celsius will validates that we've been talking about this for some time. Celsius is more than an energy drink. It is part of a daily lifestyle, part of a daily routine.

And we noticed that, because most of our sales have been sold more. If you physically have to go by Celsius, chill it and then drink it as part of a daily active lifestyle. And with the gyms closing and that distribution going down and then seeing the growth in online, grocery, mass and drug. In the drug channel, we saw the distribution was still put up record revenues each quarter and we didn't really lose any sales. I think, we could have done much better if the fitness channel is open, there's no question about it, plus resets in 2020 were delayed. We had a great opportunity to really expand into convenience. And that's where we know all the volume is. What we've been able to do is, we built Celsius really around convenience. I mean we've done extremely well in grocery, mass, drug. We're also starting to see DSD divisions on costs go, you'll find us around. We're doing extremely well there and online. So the next endeavor we're focused on right now is the convenience channel. That's where the DSD distributors come in and that's where we see that the biggest opportunity right now, but it is really -- we're more than a traditional energy drink.

Q - Sean King {BIO 15889310 <GO>}

Great. Yeah, back to your comment on sort of the health and fitness channel. So, do you think that as that channel comes back or has that channel -- first off, has that channel begun to come back? And you think that that's just a shift of volume from other channels or do you think that could be incremental for growth into a post vaccinated economy?

A - John Fieldly {BIO 17560616 <GO>}

Yeah, I think it's going to be incremental. You know, what we're seeing with the growth on. Like as an example, Amazon, walmart.com, target.com, Instakart as well as within traditional retail, it is we're getting better placements. We're also -- we're seeing the brand really resonate well with more consumers as we're getting expanded shelf placements. As an example, during the summer, we ran some great off shelf programs at Target for the first time at chain live, got really good traction. We actually came back a couple weeks later. We're opted in another trade program with Target. So, we're getting more of those great partnerships together. We also started to see coolers. We're seeing great ROI with strategic Celsius coolers placed in key accounts where we're seeing great rotation there. So, there's a lot of opportunity ahead from us. I think, it's staying in power. If you look at the latest Nielsen data and SPINS data is extremely strong. I know, most recently in Nielsen, they had us at over a 1% share about two weeks ago on the trailing 4 weeks data point so really excited. That's a major accomplishment to grab 1% share and in the category, and we're looking forward to what's ahead.

Q - Sean King {BIO 15889310 <GO>}

Great. Looking back through your, I guess it's for the first three quarters of the year and so the strong growth that you had. Can you help us sort of unpack, I guess the drivers of growth in terms of same store sales growth versus incremental distribution that you've achieved versus innovation or e-commerce? Like, if you kind of unpack what the major drivers of growth have been this past year? That would be helpful.

A - John Fieldly {BIO 17560616 <GO>}

Yeah, through the first nine months of 2020, the growth drivers has really been the grocery, mass and online, and drug as well. In those channels, we've seen just great sale at same store sales as we continue to get better placements and execute, and more consumers are aware that Celsius is in those outlets. It takes us what we've noticed about 2 to 3 years really to optimize retailers were in that third year at many of these retailers. And then in addition, we started to transition some of those accounts over to DSD, which speed up that process especially with new accounts coming on board. Because the DSD offers a white glove service, make sure your product stay in stock, on shelf, proper pricing and most importantly, keeping the product cold.

And we know we were cold, the velocity rate increases exponentially at retail. So, that's really the next phase and what we're working on right really in the third quarter and beyond and in '20 and the future is really optimizing this DSD network and getting that service levels further increased. Now through the first nine months, we had a lot of out of stocks at TBS and many of our key accounts. It was difficult to keep the shelf stocks going through the warehouses and the wholesalers. So, there's a lot of opportunities there. And when we see things coming back to normal, we are hearing a lot of great things coming from our fitness channel as well. I know we touched on that last comment, but a lot of our fitness distributors are really excited and very bullish on really the pent-up demand, of really members coming back and getting back into the gym. So, we are very much focused on maintaining that and doing a lot of strategic partnerships with the gym channel.

Q - Sean King {BIO 15889310 <GO>}

Great. You talked a lot about this DSD -- the DSD expansion and the partnership that you're signing. But where do you stand today and where do you kind of see yourself in terms of percentage of your business being on DSD by the end of the year or even into 2022?

A - John Fieldly {BIO 17560616 <GO>}

Well, will be -- at the end of the third quarter, we had about a 147 premium distributors. We're looking to further expand that throughout Q4. And when we look at it at the end of September, we estimated about roughly approximately about 30% of retail was currently serviced by DSD and we expected that the increase not only throughout Q4, but throughout 2021. It takes time to transition these retailers over. We've been working on that with Target, CVS and Rite Aid and many of our myers as well and several other accounts. So, we anticipate all of our retail will transition over. The timing of that is to be determined. We're working on that. That is a high priority, but we do not have a specific timeline stated at the moment.

Q - Sean King {BIO 15889310 <GO>}

Is there or within that. Is there sort of between gross down to operating margin? Is there some puts and takes when you shift over to a DSD model?

A - John Fieldly {BIO 17560616 <GO>}

Yeah. There is a margin share when you switch over to DSD, but there's a lot of opportunities as well on cost you saved by transitioning over to that model. As an example, improved freight costs, and we've talked about that, in the industry, a lot of individuals that were so spoken about the freight cost and freight costs continue to go up. So that's a big problem, a big challenge. Instead of shipping smaller pack sizes going LTL, you can shift full truck loads at a much reduced cost per case to a DSD partner. So that's an increase in reduced costs and gross profit for us. The other opportunity is a lot of warehouses or profit centers for wholesalers and retailers. So, you're taking some of those costs or those bill backs out of the equation but then most importantly, you're expanding the ATV. So, you're increasing your velocity by getting that cold placement, also getting access to more regional accounts, which you couldn't have access to our independent. There's more about a 100,000 to 150,000 independent convenience stores in the United States that report into Nielsen. So, there's a lot of opportunity out there that you can't really touch unless you have access to a DSD network and that's what we're very fortunate to have some great partners with us, and we look forward to activating them in coming beverage season in 2021.

Q - Sean King {BIO 15889310 <GO>}

Great. I believe in one of the earlier calls you'd mentioned for the opportunity with more. Once you get placement in the stores, the opportunity being an incremental opportunity with more SKU's. So I guess the question becomes, how do you think about sort of innovation as a contribution to 2021? Or what is your innovation pipeline look like in 2021?

A - John Fieldly {BIO 17560616 <GO>}

Yeah. I mean..

Q - Sean King {BIO 15889310 <GO>}

and how important was that --.

A - John Fieldly {BIO 17560616 <GO>}

Yeah, what we're noticing is, as we get more retail data, more scanned data as the product is getting more shelf presence. We're really watching the velocity at a SKU level and how that react by the number of SKUs that we placed in a given outlet in the position of store and retail. So, what we're noticing in cold availability, but we add additional flavors or additional SKUs, the velocity does not cannibalize sales. We're seeing sales increased at an increasing rate, which is great to see, so that further increases your same-store sales and that we're getting advantage of that billboard effect.

So, it will be also noticed is that, Celsius really hasn't have one flavor that's leading or driving a lot of this other growth. It comes through a variety of the flavors all perform of roughly approximate about the same, which is great to see. So, as we add more flavor, we're increasing the velocity of all flavors at the same, roughly around the same rate. So, that's a really great data point that we're learning as we continue to go over flavor innovations key. We got some great new flavors plan for 2021. We're coming out with summer. We got a great program after around that. Very excited about that. We're going to be taking it coast-to-coast to the DSD networks. We got key accounts partnerships -- and some great activation plan. So please keep an eye on our summers. It should be really exciting.

Q - Sean King {BIO 15889310 <GO>}

Great. Moving over to the key question for a lot of the beverage companies is just input cost inflation and what you're having to do given the can shortages and even the freight costs that you're facing and how we should be thinking about those headwinds? And if you do have an opportunity to maybe take pricing in order to help offset some of that, I know that was a bundle of two questions together there, but..

A - John Fieldly {BIO 17560616 <GO>}

Yeah, no. It's definitely something we're evaluating, taking price at this point. You know, I think there's other opportunities to maintain or maintain our margins, but are increasing front line pricing. But we said at the -- in our third quarter report that due to the importation of cans and in Q1, we were wrapping cans as well just due to the, really the constraints until our international cans that landed in the U.S., which were coke or packing them out right now. We will be impacted due to the increase in freight costs and import costs and tariffs. So, somewhere around the low 40s, which we're working to improve through the back half of 2021 and then further improve on into 2022. So, we are all going to get impacted in the industry. We're keeping an eye on it.

We do think it's a short-term impact. A lot of can manufacturers are indicating that more capacity is coming online in the U.S. at the back half of 2021 and into 2022. And then also, what happens with consumers, the consumers go back to food service and on-premise beverages, which therefore eases up some of the can supply. So we're -- there's a lot of variables there. But we do see this as a short impact. We do see it as a competitive advantage, leveraging our global teams where we able to secure cans very quickly. So a limited impact on wrapping cans, which is pretty expensive. It's very limited as it currently stand. So, we think we're in a good position. We got enough can supply to meet and exceed our expectations. We are actually warehousing some cans, we'll be and really partnering with our co-packers as well. So, we think we're in a good position for 2021 and getting through this can shortage.

Q - Sean King {BIO 15889310 <GO>}

Great. Don't you -- I mean you're still in a very high growth mode. So, when you think about marketing spend, what are the key areas of marketing spend for your business model and do you expect that to sort of continue to move higher with sales -- with the sales growth in order to help fuel that growth?

A - John Fieldly {BIO 17560616 <GO>}

We feel we have a really good algorithm that we're working off of. We do a variety of different marketing tactics, experiential marketing both in person and social activation, really engaging with our targeted consumers in an extremely effective way. So, as a percentage of revenue, I don't see that changing. Obviously, as revenues increase, we will have to invest more. We are gaining -- anticipate getting more distribution with new retailers coming on board. So, it's very important we continue to mark it. But we are -- we do feel very strongly and we stated this publicly, we're driving profitable growth. And we feel with our algorithm, we can definitely do that. We're excited about that. And so on the marketing spend, it everything's methodical on it and on methodical approach ROI positive and will continue to do what we're doing here, which is working out really well.

Q - Sean King {BIO 15889310 <GO>}

Great. I'm sort of digging into that a little bit more. With a co-pack network and then with marketing spending moving with the sales growth to help fuel that growth. Where do you really from the top-line to bottom line, where do you think you really can extract sort of the operating leverage to help really grow earnings going forward?

A - John Fieldly {BIO 17560616 <GO>}

Yeah. The operating leverage is going to come from not only an enhancements in gross profit. Also, just really we have expanded a large -- over the last really several quarters, we've added a lot of sales staff to support the new distribution growth, activate our key distributors, we've expanded our marketing teams as well. We've also expanded each departments really going through a transitional phase of growth. But on the logistics side, accounting -- we really transforming this organization for scale, building a firm foundation on it. We'll start to see leverage. If you look at Monster earnings early years, early days, you can see where they started to build leverage. We're following that same algorithm very closely. And at influction points, we will start to more EBITDA as a larger percentage. We haven't set any targets. We don't have a targets that are public at the moment, but we do feel we have a really strong algorithm. And as we continue to scale, will be able to leverage each one of our investments within our SG&A.

Q - Sean King {BIO 15889310 <GO>}

Got it. Staying -- sort of seeing domestic here. A question on, with some of the growth that you've gotten out of the e-commerce and maybe your partner there, is that -- how is that margins terms relative to difficult brick and mortar or brick and mortar through a DSD network?

A - John Fieldly {BIO 17560616 <GO>}

But, roughly one of the...

Q - Analyst

(inaudible) whole things that what I exactly..

A - John Fieldly {BIO 17560616 <GO>}

Yes, roughly around that same. I mean, when you look at it a very comparable margins throughout the business. So, I don't -- I think our margin report, we try to have consistent margins. We're very cognizant of driving the profitable growth and cognizant on our margins gross profits contributions and EBITDA. So, I would say, very comparable.

Q - Sean King {BIO 15889310 <GO>}

Got it. And what mix of the business is through e-commerce or -- yeah just (inaudible).

A - John Fieldly {BIO 17560616 <GO>}

Yeah. As of Q3 2020, roughly about 20% of our total revenue. Approximately 20% was roughly around coming from one customer on the e-commerce channel. So, and that's been really sizable increases over the last first three quarters of 2021 -- 2020 and into '19 as well. We saw a good growth there as well. So..

Q - Sean King {BIO 15889310 <GO>}

Okay. Great. I'm curious to know, know more about your international business to just kind of understand where your international exposure is? What are -- I know that you have some sort of some unique agreements in different markets internationally? And how you think about that as sort of a longer-term opportunity or through a share of business or share of growth in the years ahead?

A - John Fieldly {BIO 17560616 <GO>}

While the same opportunity we have in North America, we have in Europe and Asia. These global trends are seismic and you're seeing that in the category. We talked about it earlier, the energy category continues to grow and evolve, attract new consumers and that is globally. And we see opportunities in Europe. We have our Nordic operations. We have about an 8.5% share in Sweden. We have distribution in Finland. In Norway, we're growing and expanding. We see opportunities in UK and Germany, but being very methodical and our resource and expansion initiatives. Also have opportunities with e-com partners over there to feed product. And then in Asia, we do have a licensing royalty agreement with our distributor in China, where that's five years minimum guaranteed royalty, and then we go through a variable rate. In the future years, we see great opportunities in China as well. We're at about

60,000 locations there, at about over 70 cities. And then we do have distribution in Hong Kong, Malaysia.

In the back half of 2019, we signed a distribution agreement with a partner down there. We're in about roughly around 2,000 locations. And then we're also looking at Singapore and the Philippines as well, where we see opportunities. But really the methodical approach that we're taking is driving positive ROI not over investing and really we have a process for exceeding markets that we've been working on. The biggest opportunity right now at hand is the North America opportunity with the growth of our distribution partners, DSD and the expansion opportunities as we see inconvenience.

Q - Sean King {BIO 15889310 <GO>}

Got it. So just to make sure I understand the licensing agreement in China. So, it's sort of a cap number that your cap number or royalty that you're breaking through China for the next five years. And then after that, lets say that the brand continues to grow. It could I guess -- you can see far more profit coming from that region or am I thinking about that the wrong way?

A - John Fieldly {BIO 17560616 <GO>}

Yeah, you are. There's a minimum royalty we have it in our investment schedule. If our investment presentation, if you go to our celsiusholdingsinc.com, we have our investor presentation there. We have a whole slide on that really lifts out the minimum royalty each year, which increases every year for the first five years. And then after the fifth year, that's the minimum royalty going forward. It can never be lower than that. And as revenues increase as a percentage of revenue, so yes, it would be more accretive. There will be able to opportunity to truly participate in the growth in the category as revenues grow and scale there over the next and into the future. So, we do get to participate in the future growth there, as well as guaranteed a minimum royalty over the first five years.

Q - Sean King {BIO 15889310 <GO>}

Got it. Question on I guess innovation outside of the energy drink space or just portfolio out of the energy drink space and how important that is. I believe that you do have some product outside of energy?

A - John Fieldly {BIO 17560616 <GO>}

We do. I mean, we have other product outside of our core Celsius product. We have Celsius deep lime, which goes after that performance energy segment. It's mainly in the gyms and health clubs, got enhanced caffeine and L-citrulline, which is a vasodilator. We also have a launch date BCA recovery line. It has tartinade, magnesium, vitamin D3 as well comes in three great flavors. We also have On-the-Go powder sticks, which we've seen a great increase. Its available at Walmart, many other retailers. And we're seeing a lot of individuals based on social media and a lot of different platforms mixing it with smoothies and making some really creative drinks with it.

The other opportunity we have is in Finland. We have a fast protein snack portfolio, and actually one of the most leading protein snack portfolios in Finland. And we've you see opportunities to further leverage protein snack portfolio over the Celsius distribution. We're looking at that. We're evaluating that. We see the opportunity there in Norway, as well as Sweden. And we will be testing it through digital initiatives through.com and e-commerce initiatives. In 2021, we're bringing the fast bars, which are really innovative, tastes grate, low sugar, high in protein, really revolutionary to what's on the market today to the U.S.. And we're taking methodical approach on that. Our digital team will be working on that. And we think there's going to be some a lot of opportunity there.

Q - Sean King {BIO 15889310 <GO>}

Great. Is that -- the HEAT product that I believe you and I have spoken about this a few years or a couple years back about, it's sort of I guess, I would say, it competitively aligns with a rain or a bang and it was there. For you a bit reluctant to get too competitive with that product. And have you pull back on that product and is there going to be a time where maybe that will become a greater emphasis in the portfolio?

A - John Fieldly {BIO 17560616 <GO>}

Yeah. Our Celcius HEAT product tastes great. The same Meta plus formula in the product has the same thermogenic benefits with enhanced caffeino --. It goes head-to-head with the 300 milligram really caffeinated caffeine category that performance energy category like rain, C4 and bank. Mainly our focus has been in the gyms and health clubs really going after that segment. There is as we all know a performance energy segment that product could play in. Timing and sequencing is extremely key right now. Our core Celsius is at a great velocity rate. It is turning extremely well. We need to stay very focused with the team right now by further expanding the distribution and gaining our fair share in the energy category. Then we'll come back with the Celsius Heat and the Celsius BCAA recovery line, which we feel has a great opportunity as well. We have started the test that, some retailers are seeing good results. There could be further opportunities there. But about timing and sequencing, especially in the stage where the rapid growth as you mentioned some of the recent data points there so we're focused right now, we're focused on win and will continue to expand and build up category.

Q - Sean King {BIO 15889310 <GO>}

Great. Actually, we got some questions, two questions with that came in asking about would you ever consider going into the hearts -- space and you have you think you have the right brand equity for that? And could you, how would you go about it? Will you be willing to partner with another company for that.

A - John Fieldly {BIO 17560616 <GO>}

It's definitely something that has come up in our innovation meetings. For sure, I mean that category has been expanding. A lot of competitors are going in that space. I know, at this point, -- that is not an area of interest that we're moving into. Do we have a brand that's could expand that corporate category presumably, is it the right time, we're not we're going to take it's a good time at this moment. We could eventually down the road bring a healthy sensor to market, but we got to stay focused right now and we'll continue to evaluate opportunities. But good question. It is a definitely a growing category with a lot of players jumping in.

Q - Sean King {BIO 15889310 <GO>}

Got it. Those are all prepared questions in bounds that I have. I know that you've mentioned some of the sort of the key account wins. I'm not sure, if you're willing to speak about that, but I found that was very interesting earlier and how your performance has been in some of those key accounts?

A - John Fieldly {BIO 17560616 <GO>}

Yeah. Key accounts have gone really well. Due to COVID, the expansion opportunity we had inconvenience, obviously with delays. So we've been really focused on optimizing our key accounts and some of the wins we've had is in Kroger, we've been down in Texas some great displays in store execution, great cooler placement, down in South Florida and public's, we've had some great team members down there, where we've been able to get Celsius hold placement in store. And the velocity level has really improved. It's gone extremely well and just shows you these case studies as we replicate those around the country and the opportunities we have giving Celsius the right opportunity, the right placement in the store, we will turn better than the leading brand.

So, we're getting more validation on that, more validation points on that and that's what it is. I mean, we're going to continue to push on this, some excretion key account that did happen what Speedway 2,700 stores and convenience, we had two flavors authorized and the main bolt made it through the innovation door. They have an innovation process on their new account. So when you enter them, we're looking to get more flavors listed on the next cut in, so we're excited about that. But those are, when we've had some regional wins along the way but bulk of the expansion and initiatives has been delayed, and we've been focused on the key accounts and growing those. And that's what a lot of that volume that you're seeing is all driven from these grocery, mass and drug. And, we're excited to go after the 70% of the energy drink sales that are in that convenience channel.

Q - Sean King {BIO 15889310 <GO>}

Great. Any that's, all I have. Any parting message has to offer.

A - John Fieldly {BIO 17560616 <GO>}

Yeah, do it. We were releasing earnings on Thursday. We encourage everyone to join us on our earnings call, get the press release out and get it at celsiusholdingsinc.com in the press release section, which everyone to join. We appreciate your time and interest and go grab a Celsius, make it a great afternoon.

Q - Sean King {BIO 15889310 <GO>}

Sounds good. Alright. Thanks, John and thanks everyone for joining.